

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

SIMPLE FORWARDING, INC., *Claimant*

v.

CULINES AND NORTON LILLY INTERNATIONAL, *Respondent.*

DOCKET NO. 2010(F)

Served: August 16, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

NOTICE OF REASSIGNMENT TO ADMINISTRATIVE LAW JUDGE

On June 3, 2024, the Secretary of the Federal Maritime Commission issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice”), stating that Claimant Simple Forwarding, Inc. had filed an informal complaint against Respondents CULines and Norton Lilly International, alleging violations of the Shipping Act. The complaint was docketed as an informal complaint pursuant to 46 C.F.R. Subpart S and assigned to the Chief Administrative Law Judge for appointment of a Small Claims Officer. The Notice stated that failure by Respondent to submit a timely response expressly refusing the Subpart S informal procedure would be deemed, conclusively, to indicate consent to the informal procedure.

On June 28, 2024, CULines entered a special appearance and filed a motion to dismiss the complaint on the basis that it had not properly been served and that the Commission lacked jurisdiction over it. CULines stated in a footnote that “it would not in any event consent to the informal procedures under Subpart [S].” Mot. to Dismiss, p. 3. On June 27, 2024, Norton Lilly sent an email asking to be removed from the case. The email did not address Norton Lilly’s consent to the use of Subpart S procedures. On July 18, 2024, the Small Claims Officer issued an order acknowledging that jurisdictional issues must be addressed before the merits of a claim, but instructed CULines to raise its jurisdictional arguments in its answer to the complaint or to indicate that its motion to dismiss would serve as its answer. The July 18, 2024, Order also stated that Norton Lilly’s email did not suffice as a response to the complaint, and warned that failure to file an answer may result in default judgment. The Order set a deadline of July 31, 2024, for the filing of answers.

CULines filed its answer on July 31, 2024; Norton Lilly has not filed an answer. CULines reiterated in its answer that it was requesting the case “be re-assigned to an Administrative Law Judge.” See Verified Answer of CULines, p.1. Since CULines does not consent to the informal procedures, the claim will be reassigned to an Administrative Law Judge for adjudication under the procedures at 46 C.F.R. Subpart T. 46 C.F.R. § 502.311. This proceeding is assigned to the Honorable Alex M. Chintella, who will conduct such hearings and

conferences as may be necessary to resolve the issues in this proceeding and to issue an initial decision or dispositive ruling. In addition, the docket number is changed to 2010(F).

The parties are reminded that in a formal docket proceeding governed by Subpart T, the Commission's procedures do not make provision for motions to dismiss. 46 C.F.R. § 502.321. In addition, the parties may not initiate discovery between each other. Rather, if additional information is needed, the proposed discovery requests should be included in Respondent's answer or in Complainant's reply. 46 C.F.R. § 502.314. Parties are strongly urged to familiarize themselves with the Commission's rules of practice and procedure. All filings and all attachments (exhibits) must have page numbers, or they may be rejected.

Complainant must submit its reply to CULines' answer as set forth in 46 C.F.R. § 502.313. Under the rule, Complainant's reply is due on August 20, 2024; since this is only four days after this order is being served, I will extend Complainant's deadline to August 26, 2024. Both parties are reminded to serve a copy of all filings and documents submitted in this case on each other, as explained in detail below. If any further documents are required, the assigned Administrative Law Judge will request them. 46 C.F.R. § 502.314.

ADDITIONAL INSTRUCTIONS

Filing

1. Information regarding where to find the Commission's rules of practice and procedure (46 C.F.R. § 502), Commission decisions, and other information helpful for parties may be found in the reading room section of the Commission's website, <https://www2.fmc.gov/readingroom>. (F) can be listed in the "proceeding number" to obtain a list of prior formal proceedings.
2. Parties should review the Commission's Rules regarding hearing procedures governing formal proceedings, 46 C.F.R. Part 502, Subpart T: <https://www.fmc.gov/proceedings/>.
3. Service of the rulings, orders, and decisions in this proceeding will be by email. Parties must notify the Commission of any change of service email address.
4. By Commission order, certain requirements in 46 C.F.R. part 502 related to the paper filing of documents, ink signatures, and service by mail of complaints are currently waived. Order (May 12, 2020), Docket No. 20-07, May 12, 2020.
5. *Ex parte* communication (communication not in the public record) is prohibited. The decision issued shall be based on the filings made in this proceeding which will be available to all parties.
6. Parties shall file documents with the Office of the Secretary via email to secretary@fmc.gov. In addition to filing with the Secretary, the parties should courtesy copy the presiding judge via email at judges@fmc.gov and should copy the other party. No party may directly contact the presiding judge.
7. All filings and all attachments must have page numbers, or they may be rejected.

8. *Attachments.* When documents are attached to a filing, as far as practicable, the exhibits should be in one PDF document. The PDF should have unique, sequential page numbers (Bates numbers). Each separate exhibit should be clearly identified, for example by a cover sheet or bookmark. A table of contents should indicate what the exhibit is and the page where it starts.
9. *Case citations.* Because the Commission currently uses Westlaw, citations to judicial opinions on Lexis should include a parallel citation, if possible. Citations to Commission decisions or rulings may be made to the official F.M.C. reporters including F.M.C.2d, Pike & Fischer Shipping Regulation Reports (S.R.R.), Westlaw, or Commission slip opinions or orders by docket number, title, and date of service. If a document from another source is cited, the decision or ruling must be transmitted via e-mail to judges@fmc.gov.
10. *Extensions.* If a party needs an extension of a deadline, they should confer with the other party to determine whether there is any opposition to the relief sought. Requests for extension should follow the procedure for non-dispositive motions found at Rule 502.71 and responses to requests for extensions should be filed promptly. 46 C.F.R. § 502.71.

Discovery

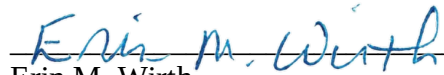
11. The parties are reminded of their obligation to ensure preservation of all relevant evidence, including electronically stored information. *Zhi Chen v. District of Columbia*, 839 F. Supp. 2d 7, 12 (D.D.C. 2011); *The Pension Comm. of the Univ. of Montreal Pension Plan v. Banc of America Securities, LLC*, 685 F. Supp. 2d 456 (S.D.N.Y. 2010); *Zubulake v. UBS Warburg LLC*, 220 F.R.D. 212 (S.D.N.Y. 2003).
12. The parties may not initiate discovery between each other. Rather, if additional information is needed, the proposed discovery requests should be included in Respondent's answer or in Complainant's reply. 46 C.F.R. § 502.314. The ALJ may request additional information if needed to issue a decision.
13. The Administrative Law Judge issues decisions based only on the record in the proceeding. See 5 U.S.C § 556(e). If there is information available in a different office at the Commission that a party wants considered, it is the party's obligation to provide that information.

Confidential Material

14. *Use in the proceeding* – If confidential information is filed, it must be accompanied by a motion justifying confidential treatment. This motion must identify each item for which protection is sought and show good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information. 46 C.F.R. § 502.141(j)(1). The burden is on the party seeking to protect the information to show good cause for its protection.
15. *Filing* – Parties should file two versions of confidential filings marked as the “confidential version” and the “public version.” The confidential version may be

provided to the Presiding Officer by email but should not be filed with the Office of the Secretary by email pursuant to Commission Rule 5. 46 C.F.R. § 502.5.

16. *Marking confidential material* – In the confidential version, confidential information must be conspicuously and clearly marked on each page, for example by highlighting or braces. The public version must indicate on the cover page and on each affected page “Public version – confidential materials excluded.” The public version must clearly indicate any omissions, for example with blackout or braces, and its pagination and depiction of text on each page must be identical to that of the confidential version. For example, the confidential filing may read: “On January 1, 2010, Complainant entered into a {25} year lease with respondent for a monthly rent of {\$1000}.” The public version would read: “On January 1, 2010, Complainant entered into a { } year lease with Respondent for a monthly rent of { }.”
17. *Exhibits* – Confidential information in exhibits should be marked as above. If marking within the text is not feasible, individual pages may be replaced in the public version with a page indicating that confidential material was excluded. Entire exhibits should not be excluded, only those pages containing confidential material.
18. *Personal information* – Personally identifiable information such as social security numbers, birth dates, and financial account numbers must be redacted pursuant to Commission Rule 13. 46 C.F.R. § 502.13.


Erin M. Wirth
Chief Administrative Law Judge